

financial Accounting & Analysis 2024 P.G.P.

31st Oct. Solution:- we use the accounting Equation:-
$$\text{Assets} = \text{liabilities} + \text{capital}.$$

Transaction	Assets	liabilities	capital
i. Started business with Cash ₹ 10,000	+10,000	-	+10,000
ii. Purchased goods on credit ₹ 8,000	+8,000 (stock)	+8,000	-
iii. Goods destroyed by fire ₹ 1,000	-1,000	-	-1,000
iv. Recovered ₹ 950 from Debtor (₹ 1,000) - tax	-50	-	-50
v. Depreciation ₹ 2,000	-2,000	-	-2,000
vi. Drawings ₹ 1,500	-1,500	-	-1,500
vii. Paid salaries ₹ 3,500	-3,500	-	-3,500
viii. additional Capital introduced ₹ 10,000	+10,000	-	+10,000
Total	19,950	8,000	11,950

$$\text{Assets} = \text{liabilities} + \text{capital}.$$

$$19,950 = 8,000 + 11,950 //$$

3.24
64. Solution :- ∴ Journal Entries :-

Date	Particulars	L/F	Dr	Cr
July 1	Cash A/c Dr To Capital A/c (Being business started with Cash)		4,50,000 —	— 4,50,000
July 2	Bank A/c Dr To Cash A/c (Being Cash Deposited into bank)		2,50,000 —	— 2,50,000
July 4	Purchase A/c Dr To Amritlal's A/c (Being goods purchased on Credit)		1,25,000 —	— 1,25,000
July 6	Cash A/c Dr To Sales A/c (Being goods sold for Cash)		75,000 —	— 75,000
July 8	Furniture A/c Dr To Cash A/c (Being furniture purchased for Cash)		48,000 —	— 48,000
July 12	Amritlal's A/c Dr To Cash A/c (Being Discount received A/c (Being payment made in full settlement))		1,25,000 — —	— 1,24,000 1,000
July 13	Investment (Govt. Securities) A/c Dr To Cash A/c (Being Govt. Securities purchased)		50,000 —	— 50,000

July 16	Purchase A/c To Sunderlal's A/c (Being Goods purchased on credit)	Dr	63,500	-	-	63,500
July 18	Cash A/c / Bank A/c To Purchase A/c (Being claim received for goods Damaged)	Dr	25,000	-	-	25,000
July 25	Cash A/c To Commission received A/c (Being Commission received from RK Traders)	Dr	1,000	-	-	1,000
Total			1212500	1212500		

Q.34

or Solution:-

Assets	liabilities	capital
56,600	45,000	11,600
29,700	10,000	19,700
63,000	13,000	50,000

→ working note:-

$$\text{Assets} = 45,000 + 11,600 = 56,600$$

$$\begin{aligned} \text{Capital} &= \text{Assets} - \text{liabilities} \\ &= 29,700 - 10,000 = 19,700 \end{aligned}$$

$$\begin{aligned} \text{liabilities} &= \text{Assets} - \text{capital} \\ &= 63,000 - 50,000 = 13,000. \end{aligned}$$

Q.35

or Solution:-

Comparative Balance Sheet of 'X' Ltd.
as on 31st March, 2016 & 2017:-

particulars	31/3/2016 ₹	31/3/2017 ₹	absolute change	Percentage change
I. <u>Equity & liabilities</u>				
Share Capital	10,00,000	10,00,000	4,00,000 -	11.11%
Reserve & Surplus	6,00,000	12,00,000	6,00,000	100%
long-term borrowings	5,00,000	4,00,000	(1,00,000)	(20%)

Trade payable	9,00,000	12,70,000	(2,30,000)	(15.33%)
Total liabilities	30,00,000	38,70,000	8,70,000	29% 10.57%
II. <u>Assets</u> :-				
fixed assets :-				
land & building	15,00,000	16,00,000	1,00,000	6.67%
plant & machinery	5,00,000	6,30,000	1,30,000	26%
<u>Intangible assets</u> :-				
Goodwill	1,00,000	—	(1,00,000)	(100%)
<u>Non-current assets</u> :-				
Investment	1,00,000	1,20,000	20,000	20%
<u>Current assets</u> :-				
Current assets	8,00,000	15,20,000	7,20,000	90%
Total assets	30,00,000	38,70,000	8,70,000	29%

Q.37

Cr. Solution :-

Cash book of Hassan Sajjad
(April 2017)

Dr				Cr			
Date	particular	Cash	Bank	Date	particular	Cash	bank
Apr 1.	To Balance b/d	1,550	13,575	Apr. 2	By Typewriter purchase	750	—
Apr 2.	To Cash Sales	1,315	—	Apr. 7	By bank (C)	500	—
Apr. 7	To Cash (contra)	—	500	Apr. 16	By purchase	—	1,005
Apr. 10	To A. Hussain (cheque received)	2,550	—	Apr. 26	By Salman	—	915
Apr. 20	To Cash (Cheque deposited) (contra)	—	2,550	Apr. 29	By wages	500	—
Apr. 22	To customer (cheque received)	775	—	Apr. 29	By Salary	—	1,000
Apr. 24	To Sweet Brs.	—	1,500	Apr. 30	By Cash (C)	—	250
Apr. 28	To Cash	—	775	Apr. 30	By Drawings	—	150
Apr. 30	To Bank (contra) - office use	250	—	Apr. 30	By balance c/d	4,440	15,830
	Total	6,440	19,150		Total	6,440	19,150
May 1	To Balance b/d	4,440	15,830				

9.48

b7. Solution :-

Trial balance of Ms. Malika Afzal as on
31/3/2012 :-

particulars	L/F	Dr	Cr
Drawings		74,800	-
Bills received		52,500	-
Discount allowed		950	-
freight		3,500	-
Insurance		2,700	-
Printing charges		1,500	-
Sundry expenses		21,000	-
Rent		72,500	-
Stock (1/4/2011)		17,000	-
machinery		215,400	-
purchase		295,700	-
furniture		33,000	-
Income tax		9,500	-
Bank loan		-	1,20,000
Capital		-	2,50,000
Sales		-	3,35,350
Sundry Creditors		-	75,000
Bills Payable		-	31,700
Discount received		-	1,000
Difference Amt (Surplus A/c)		13,000	1,000
Total		813,050	813,050

C8. Solution :-

i. calculation of current ratio :-

$$\begin{aligned}\text{current ratio} &= \frac{\text{current assets}}{\text{current liabilities}} \\ &= \frac{6,00,000}{4,00,000} = 1.5:1\end{aligned}$$

ii. Stock turnover ratio :-

$$\begin{aligned}\text{Stock turnover ratio} &= \frac{\text{cost of Goods Sold}}{\text{Average stock}} \\ &= \frac{6,00,000}{3,00,000} = 2 \text{ times}\end{aligned}$$

iii. Gross profit ratio :-

$$\begin{aligned}\text{Gross profit ratio} &= \frac{\text{Gross profit}}{\text{Sales}} \times 100 \\ &= \frac{2,00,000}{8,00,000} \times 100 = 25\%\end{aligned}$$

$$\begin{aligned}\text{Gross profit} &= \text{Sales} - \text{COGS} \\ &= 8,00,000 - 6,00,000 = 2,00,000\end{aligned}$$

iv. Operating Cost ratio :-

$$\begin{aligned}\text{operating Cost ratio} &= \text{COGS} + \text{operating expenses} \\ &= 6,00,000 + 1,12,000 = 7,12,000\end{aligned}$$

$$\begin{aligned}\text{operating Cost ratio} &= \frac{\text{operating cost}}{\text{Sales}} \times 100 \\ &= \frac{7,12,000}{8,00,000} \times 100 = 89\%\end{aligned}$$

∴ net profit ratio :-

$$\text{net profit ratio} = \frac{\text{net profit}}{\text{Sales}} \times 100$$

$$= \frac{1,20,000}{8,00,000} \times 100 = 15\%$$

$$\rightarrow \text{net profit} = 2,00,000 + 12,000 + 54,000 - \cancel{1,12,000} - 34,000 = 1,20,000$$

$$\rightarrow \text{Gross profit} = 2,00,000$$

$$* \text{Commission earned} = 12,000$$

$$* \text{Profit on building} = 54,000$$

$$- \text{Adm. Expenses} = \cancel{1,12,000}$$

$$- \text{Loss on machinery} = 34,000$$

Q.58

∴ Solution :- calⁿ of Trend Percentages, using,

Particulars	Year ₁	%	Year ₂	%	Year ₃	%
<u>Equity & Liabilities</u> :-						
1. Share holders fund :-						
a) Share Capital	200	100%	254	127%	212	106%
b) reserve & Surplus	60	100%	60	100%	80	150%
2. <u>Non-Current liabilities</u> :-						
long-Term borrowings	140	100%	154	110%	168	120%
3. <u>Current liabilities</u> :-						
Trade Payable	40	100%	60	150%	80	200%
<u>Total</u>	440	100%	528	120%	550	125%

Assets :-

1. Non-Current Assets :-

a) fixed assets

b) non-current investment

200	100%	236	118%	206	103%
80	100%	100	125%	120	150%

2. Current Assets :-

Inventory

120	100%	132	110%	144	120%
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Cash & Cash Equivalents

40	100%	60	150%	80	200%
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Total

440	100%	528	120%	550	125%
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3.5
Solution :-

Calc of net profit :-

The change in Capital & reserve represents the retained profit for the year after dividends.

* closing Capital & reserves (31/12/2009) = 2,98,000

* Opening Capital & reserves (1/1/2009) = 2,96,000

* Increase in Capital & reserve = 2,98,000 - 2,96,000 = 2,000

* Add :- Dividends paid during the year = 52,000

* net profit for the year :-

$$2,000 + 52,000 = 54,000$$

4. Cash flow from operating Activities :-

* net profit = 54,000

* Add :- P. for Dep., = 72,000 - 54,000 = 18,000

* operating profit before w.c. changes = 54,000 + 18,000 = 72,000

* adjustments for WC:-

* Increase in Debtors (outflow):

$$76,800 - 70,000 = 6,800$$

* Decrease in Stock (Inflow):

$$50,000 - 44,000 = 6,000$$

* Increasing in Current liabilities:- (Inflow)

$$82,000 - 72,000 = 10,000$$

* net Cash from operating activities (A):-

$$72,000 - 6,800 + 6,000 + 10,000 = 81,200$$

→ Cash flow from Investing Activities:-

* Purchase of land:-

$$60,000 - 40,000 = 20,000$$

* Purchase Building:-

$$1,10,000 - 1,00,000 = 10,000$$

* Purchase of machinery:-

$$2,44,000 - 2,14,000 = 30,000$$

* net Cash used in investing activities (B):-

$$(20,000 + 10,000 + 30,000) = 60,000$$

→ Cash flow from financing Activities:-

* lang from associate Company (inflow):- 40,000

* repayment of loan from bank (outflow):-

$$60,000 - 50,000 = 10,000$$

* Dividends paid (outflow) = 52,000.

* net cash used in financing activities (C)

$$40,000 - 10,000 - 52,000 = 22,000.$$

→ net change in Cash :-

* net change $(A + B + C)$

$$81,200 + (-60,000) - 22,000 = 800$$

add :- Opening Cash balance = 8,000

* closing Cash balance :-

$$8,000 + 800 = 7,200 \text{ (matches the Given balance sheet)}$$

=>

cash flow Statement for the year ended 31/12/2009	Amount (Rs)
A. Cash flow from Operating Activities	81,200
B. Cash flow from Investing activities	(60,000)
C. Cash flow from financing activities	(22,000)
net Decrease in Cash $(A+B+C)$	(800)
cash at the beginning of the year	8,000
cash at the end of the year	7,200
Total	13,600